SENTINEL BANK - TAXATION MEMO

Department: Tax_Compliance

Subject: TDS Deduction on Fixed Deposits

Directive: Branch managers must ensure automated Tax Deducted at Source (TDS) is configured correctly for domestic Fixed Deposit (FD) accounts.

Rule: A TDS rate of 10% will be automatically deducted on interest earned from Fixed Deposits if the total interest exceeds ₹40,000 in a single financial year. If the customer has not provided a PAN card, the TDS deduction rate defaults to a penal rate of 20%.